developments in the *Euro zone area* and *United States* had their impact on markets around the world including India. The resolution of the **fiscal cliff**[11] in the US had a positive impact on the market worldwide including in India. Further, reform measures recently initiated by the government have been well received by the markets.

New Rules for Foreign Investment

To promote the flow of foreign funds into the economy the RBI, on *January 24, 2013*, further liberalised the provisions of investment in India's security market –

- FIIs and ***long-term investors***[12] investment limit in Government Securities (G-Secs) enhanced by US $5 billion (to US $ 25 b).
- Investment limit in corporate bonds by the above-given entities enhanced by $5 billion (to $50 billion).
- The RBI also relaxed some investment rules by removing the maturity restrictions for first time foreign investors on dated G-Secs (earlier a three–year residual maturity was must for first time foreign investors). But such investments will not be allowed in short-term paper like Treasury Bills.
- Foreign investors restricted from investing in the 'money market' instruments – certificates of deposits (CDs) and commercial paper (CPs).
- In the total corporate debt limit of $50 billion, a sub-limit of $25 billion each for infrastructure and other than infrastructure sector bonds has been fixed.
- Rules requiring FIIs to hold infrastructure debt for at least one year has been abolished.
- The qualified foreign investors (QFIs) would continue to be eligible to invest in *corporate debt securities* (without any lock-in or residual maturity clause) and *mutual fund debt schemes*, subject to a total overall ceiling of $1 billion (this limit of $1 billion shall continue to be over and above the revised limit of $50 billion for investment in corporate debt).